

9.2 EQUITY

MARKING SCHEME

1985/AL/I/28 A	1993/AL/I/30 C	2007/AL/I/17 D	2012/DSE/I/20 D (82%)	2017/DSE/I/20 A (68%)
1991/AL/I/12 C	1996/AL/I/03 A	SP/DSE/I/19 B	2012/DSE/I/21 D (64%)	2017/DSE/I/21 D (91%)
1991/AL/I/24 D	1998/AL/I/04 C	PP/DSE/I/18 B	2014/DSE/I/20 A (73%)	2017/DSE/I/22 C (73%)
1993/AL/I/26 A	1999/AL/I/26 D	PP/DSE/I/19 D	2015/DSE/I/21 B (63%)	2019/DSE/I/19 C
2020/DSE/I/13 D	2020/DSE/I/19 C	2020/DSE/I/22 D	2020/DSE/I/23 D	2021/DSE/I/21 B
2021/DSE/I/22 D	2022/DSE/I/23 C	2024/DSE/I/23 C	2025/DSE/I/23 D	

PP/DSE/II/11(d)

The STAS increases the income of the needy students' families while the rich families cannot enjoy this benefit. (2)
The STAS will help equalize opportunities as it helps the needy students further their studies. Education can increase future income of the needy students so it may help narrow the income gap over time. (2)

2012/DSE/II/4

(a) Wider (1)

(b) Lower, because

higher income group has a lower post-tax income while the income of lower income group remains unchanged. (2)

2012/DSE/II/10(b)

Equity is a subjective concept that involves value judgments. / Different people use different standards of equity. (1)

Yes, because the \$6 000 results in a higher percentage increase in income of the poor. (2)

OR

No, as it does not help equalize opportunities. Relative to the rich, the poor do not get more resources to improve their productivity / increase future income. (2)

OR

No, as it is not equalizing outcome as not everyone can benefit from the scheme, e.g. non-permanent residents and residents who are below 18 years old are not eligible for the \$6 000. (2)

2013/DSE/II/7

(a) Construction. (1)

This is because the entry to a particular occupation is closely associated with a person's human capital, which tends to be more homogeneous among the construction workers than among finance professionals. (2)

The construction industry often pays their workers by time rates, which are more or less uniform across workers. In addition to basic salaries, compensations to the employees of financing, insurance, real estate and business services often include performance-based commissions, bonuses and profit-sharing, which may result in a greater diversity of income within this industry. (2)

(Max: 3)

- (b) The Gini coefficient, which reflects the degree of income inequality, has increased in the HK economy as a whole. (1)

As shown in Table 1, income inequality in both industries has increased. Other things being equal, this would contribute to the increase in the income inequality in the entire economy. (2)

As shown in Table 2, there is an increase in the proportion of working population in the industry with a larger disparity of income (i.e. financing, insurance, real estate and business services) and a decrease in the industry with a smaller disparity of income (i.e. construction). Other things being equal, this changing pattern of employment distribution across the two industries would contribute to the increase in the income inequality in the entire economy. (2)

(Max: 3)

2013/DSE/II/11

- (a) Objective (1): Yes, as it provides cash subsidies relieving the burden on travelling expenses. (2)

Objective (2): Yes, if the WITSS continues to subsidize the workers on travelling expenses. (2)

OR

Objective (2): No, as employment (as well as unemployment) largely depends on the aggregate demand and supply of the economy (which may fluctuate over time) rather than the WITSS. (2)

- (b) (ii) It helps to reduce the income inequality. It helps equalize outcome as it provides extra money for the lower-income group only / it increases their opportunity of finding a job with higher income because they can travel farther away from their residential area. (3)

2015/DSE/II/8

Proposal 1:

Equalizing opportunities:

Free education for longer years means that the poor are able to receive more education and improve their productivity and hence income-earning power in the future. (2)

Proposal 2:

Equalizing income/outcome:

More welfare payments to the unemployed could help reduce the income inequality between the employed (rich) and the unemployed (poor). (2)

2016/DSE/II/11

- (c) Equalize income/outcome: basic medical service acts like a transfer or subsidy-in-kind, enjoyed mainly by the low-income group; The high-income group may choose not to "queue up" for such medical benefits and turn to private medical service instead. (2)

OR

Equalize opportunities: basic medical service provided to patients with chronic diseases would improve their health, allowing them to continue to work and earn income. Therefore, their income would not be affected by their ability to afford medical service (their background), but rather by their work effort. (2)

- (d) Equity:

After the fee raise, the poor may no longer be able to afford the fee and thus be deprived of the opportunity to enjoy the medical services. Equity may be worsened as the poor cannot enjoy the transfer/subsidy while the rich can still use the service. (2)

OR

After the fee raise, the poor may no longer be able to afford the fee and thus be deprived of the opportunity to enjoy the medical services. The poor may then be deprived of the chance to work and earn income due to their poor health. (2)

2017/DSE/II/11(c)

Yes. Subsidizing education is a measure to equalize opportunities, so the poor will not be deprived of university education due to financial constraint. Education could also raise their future income, thus reducing income inequality over generations. (3)

- (a) Statement A is a positive statement because it is refutable by fact.

(2)

- (b) Equalising income: the districts are with lower average household income so this cash will help narrow the income gap.

Equalising opportunity: the subsidy on education will enhance the chance of the poor to get higher education without being hindered by their backgrounds.

} @2
max: 4

10. (a) The amount of money spent on buying masks constitutes a higher percentage of income for the low-income group than for the high-income group

Marks

(2)

- (b) (i) No, it is not a free good because it is produced from scarce resources.

(2)

- (ii) No, it is not a public good because it is rivalrous in consumption, i.e. it cannot be used concurrently by more-than-one persons.

(2)

OR

No, it is not a public good because it is excludable, i.e. the owner of a mask can exclude other people from accessing or using his/her mask.

- (d) Marks for effective communication (EC: max 2 marks)

Marks	Performance
2	● Support arguments with the source/data and appropriate economic theories. ● Present relevant material. ● Present well-organised and coherent answers without repetition of ideas. ● Use language that expresses ideas clearly and fluently with appropriate use of words/terms/symbols.
1	● Present arguments with some support of the source/data and economic theories. ● Present some irrelevant material. ● Present answers in a less organised way with some repetition. ● Use language that conveys a clear message with some inappropriate use of words/terms/symbols.
0	● Present arguments with no support of the source/data and economic theories. ● Present material unrelated to the gist of the question. ● Present inconsistent arguments. ● Express limited ideas with inappropriate use of words/terms/symbols.